

Makoto Tanaka

University of Virginia
Department of Economics
PO Box 400182
Charlottesville, VA 22904-4182

Website: makototanaka94.github.io
Email: mt4xq@virginia.edu
Phone: (434) 234-7582
Citizenship: Japan

EDUCATION

Ph.D. in Economics, University of Virginia	Expected May 2027
M.A. in Economics, Hitotsubashi University	March 2019
B.A. in Economics, Hitotsubashi University	March 2017
Exchange Program, Chinese University of Hong Kong, Hong Kong, China	2014–2015

FIELDS OF INTEREST

Macroeconomics, Monetary Economics, Fiscal Policy, Applied Time Series

JOB MARKET PAPER

Fiscal Beliefs and the Transmission of Fiscal Policy under Imperfect Knowledge

Abstract. Conventional monetary-fiscal models insulate inflation from fiscal disturbances when monetary policy targets inflation and fiscal policy stabilizes debt. Yet low-frequency movements in fiscal variables are systematically related to inflation and long-run inflation expectations. I ask whether expectations fully incorporate the present value restrictions linking government liabilities to future fiscal adjustment when agents must learn how that adjustment occurs. Fiscal neutrality does not require rational expectations or knowledge of the fiscal policy rule, only Ricardian beliefs: subjective forecasts under which additional liabilities are fully backed by future fiscal adjustment. Learning about long-run fiscal outcomes preserves neutrality when households understand how fiscal positions propagate, because revisions in expected debt remain tied to the fiscal adjustment backing those liabilities. When households must also learn this propagation, however, forecast errors can change their understanding of how government liabilities will ultimately be backed, allowing debt and deficit beliefs to acquire distinct wealth effects even under an unchanged policy regime. These wealth effects link slow moving fiscal beliefs to inflation and, through learning, to long-run inflation expectations. Because perceived backing depends on inherited beliefs, the transmission of fiscal policy becomes history dependent. Estimating a New Keynesian model with adaptive learning on U.S. macroeconomic, fiscal, and survey data over 1970–2008, I find substantial time variation in perceived fiscal backing. Resolving the fiscal uncertainties lowers long-run inflation expectations by 0.2–0.3 percentage points, while identical fiscal shocks generate qualitatively different inflation and output responses across historical belief states.

WORKING PAPERS

- Fiscal Information and Time Varying Inflation Target
- Military Spending and Crowding-Out Effects: Evidence from Sub-Saharan Africa (with Antonio C. David, Elisee Miningou, Rasmane Ouedraogo, Alex Vaval Pierre-Charles). *IMF Working Paper*; Revise and Resubmit at *World Development*
- Looking Through Energy Shocks under Incomplete Information (with Martin Arazi)

WORK IN PROGRESS

- FX Interventions and Low Frequency Deviations of UIP in Emerging Economies (with Jose Ferrer)

TEACHING EXPERIENCE

Teaching Assistant, University of Virginia 2022–present
Introduction to Macroeconomics; Introduction to Econometrics; Econometric Methods; Behavioral Finance.

RESEARCH EXPERIENCE

Research Assistant for Professor Felipe Saffie, University of Virginia 2024–2026
Research Assistant for Professor Yoichi Sugita, Hitotsubashi University 2019–2021
Research Assistant for Professor Yukiko Saito, RIETI 2019–2021

PROFESSIONAL EXPERIENCE

Ph.D. Intern, Bank of England Summer 2026
Fund Internship Program (FIP), International Monetary Fund Summer 2025

PRESENTATIONS

2026: IDE-JETRO; Bank of England Brown Bag; Bank of England MPSD; Workshop for Young Macroeconomists (scheduled); SEA Annual Meeting (scheduled)

2025: IMF AFR

HONORS, AWARDS, AND FELLOWSHIPS

Bankard Pre-Doctoral Fellowship 2026–2027
Japan IMF Scholarship 2021–2023
Hitotsubashi University Study Abroad Scholarship 2014–2015

SKILLS

Programming: R, Python, Matlab, Stata, LaTeX, SQL
Languages: English (Fluent), Japanese (Native), Chinese (Intermediate)

REFERENCES

Eric Leeper

Department of Economics
University of Virginia
eml3jf@virginia.edu
434 924-3933

Leland Farmer

Department of Economics
University of Virginia
lefarmer@virginia.edu
434 924-7947

Eric Young

Department of Economics
University of Virginia
ey2d@virginia.edu
434 924-3811